

SCHEDULE 'B' – INCOME FROM RENTAL OF BUILDINGS

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- **Rental income tax** shall be imposed for each tax year at the rate or rates specified in **Art. 14 (979/2016)** on a person renting out a building or buildings who has taxable rental income for the year.
- 1. The rate of rental income tax applicable to a body is 30%.

2/ The rates of rental income tax applicable to an individual are:

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Rental Income in Birr (per Year)	Tax rate	Shortcut deduction
0 - 7,200	0%	0
7,201-19,800	10%	720
19,801-38400	15%	1710
38401-63000	20%	3630
63001-93600	25%	6780
93,601-130800	30%	11460
Over 130,000	35%	18000

Cont'd....

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Taxable Rental Income:

- ✓ The taxable rental income of a taxpayer for a tax year is the gross amount of income derived by the taxpayer from the rental of a building or buildings for the year reduced by the total amount of deductions allowed to the taxpayer for the year.

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- According to **Art. 15/2 (979/2016)**:
- The gross amount of income derived by a taxpayer from the rental of a building for a tax year shall include the following:
 - a) all amounts derived by the taxpayer during the year under the lease agreement, including any lease premium or similar amount;
 - b) all payments made by the lessee during the year on behalf of the lessor according to the lease agreement;

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c) the amount of any bond, security, or similar amount that, during the year, the taxpayer is entitled to retain as a result of damage to the building and that has not been used by the taxpayer in repairing the damage to the building;

d) the value of any renovation or improvement made under the lease agreement to the land or building when the cost was borne by the lessee in addition to the rent payable to the taxpayer.

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- If a taxpayer leases a furnished building, the gross amount of income derived by the taxpayer from the lease of the building shall include any amount attributable to the lease of the furniture or equipment.

- The gross amount of income derived by a taxpayer from the lease of a building shall not include exempt income.

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- In computing the taxable rental income for a tax year of a taxpayer **who does not maintain books** of account, a deduction shall be allowed for the following amounts:
 - a) any fees & charges, but not tax, levied by a State or city administration in respect of the land or building leased & paid by the taxpayer during the year;
 - b) an amount equal to fifty percent (50%) of the gross rental income derived by the taxpayer for the year as an allowance for the repair, maintenance, and depreciation of the building, furniture, & equipment.

- In computing the taxable rental income for a tax year of a taxpayer **who maintains books of account**, a deduction shall be allowed for any expenditures incurred by the taxpayer in deriving rental income and paid during the year including:
 - a) the cost of the lease of land on which the building is situated;
 - b) repairs and maintenance;
 - c) depreciation of the building, furniture and equipment;
 - d) interest and insurance premiums; and
 - e) fees and charges, but not tax, levied by a State or city administration in respect of the land or building leased.

- f) If the rental house and the residential house use the same electricity, telephone, and water meter, 75 percent of the expenses incurred for these can be deducted as expenses.
- g) Interest on loan for asset under construction: interest is capitalized until the building is completed. However, once the building is constructed and completed, it will be allowable as an expense;
- h) The cost of promoting the rental service includes: For announcements made at different events, not more than 3 percent of the total rental income. However, it is fully deductible if it is for media or advertising purposes;
- i) As long as the building constructed for rent is not used for another purpose, if the taxpayer has made the building ready for rental use, even if the building is not rented, it will be considered as used for rent and the periodic depreciation will be treated as an expense;

j) If one building used for both rental services and operations to generate other income, cost is distributed their respective proportion of the use and rent. If used for other purposes, the depreciation must be presented separately. However, if it is not provided separately, it will be deducted from the total cost of the building by calculating the area used for rent.

k) An item or machine can get a depreciation deduction only during the year of business where the company provides service to get the income

□ Example

- Taxpayer who leased the warehouse with the coffee brewing machine, the cost of the machine is 40 thousand. If the machine is used for business from Yekatit 1st to Sene 30 and annual depreciated by 20 percent; the depreciation is calculated as follows:
- 5 months multiplied by 30 days = 150 days the date of service for the business
- $((40,000 \times 20/100) \times 150/365)$ 3 333 Birr will be the deprecation of the machine from Yekatit 1st to Sene 30
- If the term of service is 5 years and serve for the next four years, the price of the machine will decrease by $40,000 \times 20/100 = 8,000$ birr, but for the first year of partial service, the price will decrease by 3,333 birr.

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- The base for calculating depreciation is:
 - ▣ It is the price at which the building used for rent was built or purchased or
 - ▣ if this is not provided, by keeping 70 percent of the market price of the building
- No depreciation expense is allowed for resources not registered in the name of the taxpayer, which is allowed from the date of registration by the authorized entity.

Sub-leases

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- The taxable rental income of a sub-lessor of a building for a tax year shall be the difference between the total rental income received by the sub-lessor during the year and the total rental income paid to the lesser of the building plus other expenses to the extent necessarily incurred by the sub lesser to generate the income.
- The owner of a building who allows a lessee to sub-lease the building shall be liable for the rental income tax payable by the lessee if the lessee fails to pay the tax.

According to Art. 17/1 & 2 (979/2016), New Rental Building Notification:

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- 1) At the earlier of the time construction of a rental building is completed or when the building is rented, the owner of the building and the builder shall notify the Kebele administration and local administration in which the building is located about the completion and the name, address, and TIN of the person or persons liable for rental income tax with respect to the building.
- 2) The Kebele administration and local administration shall communicate the information contained in the notification to the Authority.

Advance payments

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- **Unless the tax payer maintains books of accounts, if the amount of rent paid to the leaser or sub-leaser covers a period longer than one year, the total amount of income from such rent shall be attributable to the fiscal year in which payment was made.**
- Tax on advance payment is computed by prorating the taxable income over the of yeas covered by the amount paid.

Journalizing Transaction Related to Rental Income Tax

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Transaction related to payment of direct rental tax is recognized as follows

General Journal

Date	Description	Debit	Credit	Debit	Credit
	Rental tax expense			X	
	Rental payable				X

If the landlord gets direct rental tax deduction is recognized as follows

Date	Description	Debit	Credit	Debit	Credit
	Rental tax expense			X	
	Receivable from government				X
	Rental payable				X

Example

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- Assume Ato Kebede has been renting his house to Ato Abebe for Birr 10,000 a month since June 2007. In the contract, the lessee is obliged to pay certain expenses. The lessee has been paying the rent as per the contract and the leaser has been paying his tax accordingly. Assume also the following as facts that had been recorded in Ato Kebede's books of accounts and are evidenced with proper documents.
- Cost of construction/purchase Br. 2,000,000
- Interest paid to bank on loan for construction/purchase Br.15,000
- Insurance premium paid for the building Br.20,000
- Expenses paid by the lessee on behalf of the leaser Br.30,000
- Land and building tax Br. 2,000

- Let us determine how much rental income tax Ato Kebede must pay if
- A. he does not keep accounting record,
- B. the business is a corporate business that maintains accounting record.

Solution: Assumption A

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- Ato Kebede gets an annual rental income of Br 120,000 (Br 10,000x12) in cash = Br 120,000
- Expenses paid on behalf of the leaser 30,000
- Total rental income **Br 150,000**
- The current taxable rental income for presumptive tax payers is 50% of the net rental income. Thus,
- Total rental income Br 150,000
- Less: Land and building tax paid (2,000)
- Net rental income **Br 148,000**

Solution

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- Rental income subject to taxation will be

$$\text{Br } 148,000 \times 50\% = 74,000$$

$$\begin{aligned}\text{Rental Income tax} &= (74,000 \times 25\%) - 6,780 \\ &= \mathbf{11,720}\end{aligned}$$

Solution: Assumption B

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- Rental income is Br 150,000 including 30,000 expense paid by the lessee on behalf of the leaser.
- Rental income Br 150,000
- Depreciation of Building (100,000) (which is 5% of cost (2,000,000))
- Insurance (15,000)
- Land and building tax paid (2,000)
- Interest (20,000)
- Taxable rental income **Br 13,000**

$$\begin{aligned}\text{Rental Income tax} &= (13,000 * 30\%) \\ &= \mathbf{3,900}\end{aligned}$$

Exercise

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- GM Pvt. Ltd. agrees to lease the 5-storey building located in Addis Ababa city with 20 rooms for school use to Mrs. Mana for 45,000 Birr per month for a period of one year. But the fifth floor is not rented. Ms. Mana entered into a one-year contract to pay Birr 45,000 per month, starting from Hamle 1 and ending on Sene 30, so she paid six months' payment. The company has spent 50,000 to buy classroom chairs, 15,000 classroom tables for each class and also spent 30,000 to renovate the building, of which 7,000 Birr has been spent to renovate the fifth floor which was rejected by tax auditors during the audit.
- A. What is the annual income? How much is the cost of the lessor? How much is the taxable income? Should the lessor collect VAT or not?

Exercise

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- An individual named Ms. Tihitina sub lease a business center and earns 500,000 from her total annual income. She paid 300,000 to the main lessor for one year. The lady spent 50,000 birr to partition the house and 20,000 birr for decoration.
- How Much is the taxable income? Will VAT be collected on this rent or not? Why? What about Turnover tax?